

PUBLIC VERSION

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

COMPLAINANT PELOTON INTERACTIVE, INC.'S
STATUS REPORT

Complainant Peloton Interactive, Inc. (“Peloton”) respectfully submits this Status Report following the close of discovery on June 2, 2025, to inform the Presiding Officer that Respondent Flexport International LLC (“Flexport”) has not complied with orders compelling discovery. Before and after these orders were issued, Peloton invested significant resources to attempt to obtain this material information, to no avail. With discovery now closed and all depositions taken, Peloton has incurred substantial prejudice from these violations and will be seeking relief from the court at the appropriate time, including but not limited to “discovery sanctions including adverse

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inferences [or] decision on default.” April 22, 2025 Order at 2. Peloton can also be available for a conference should the Presiding Officer wish to address these issues prior to merits briefing.¹

This proceeding will determine if Flexport’s issuance of approximately \$30M in detention and demurrage (“D&D”) charges to Peloton, for more than 7,000 container shipments Flexport moved store door, was unreasonable under the Shipping Act.² Peloton did not directly contract, work, or communicate with motor carriers, ocean carriers, railroads, or marine terminal operators regarding the movement of its containers—it hired Flexport to do so.³ Given this dynamic, the Presiding Officer recognized early in discovery that “the information necessary to determine whether Flexport’s practices were reasonable or unreasonable may well be entirely in the possession of Flexport, reinforcing the import of discovery and a more fully developed record here in fairness to Peloton[.]” January 29, 2025 Order at 7 (denying Flexport’s Motion for Judgment on the Pleadings). However, Flexport did not produce this information, despite the Presiding Officer twice compelling Flexport to produce, among other things, its internal communications and communications with third parties regarding the movement of Peloton containers, including information from its portals.⁴

Flexport still has not produced this information and these deficiencies have materially prejudiced Peloton’s prosecution of its claims. Highlighted below are representative examples to

¹ Under the current scheduling order, Peloton’s Initial Brief, Proposed Findings of Fact, and Appendix are due by July 14, 2025. See May 15, 2025 Order at 7.

² “Store door” is also referred to, among other terms, as carrier haulage or port-to-door.

³ Flexport’s responsibility included coordinating and covering all aspects of the inland transportation of the Peloton Containers, including chassis provision, ensuring timely removal from U.S. marine and intermodal terminals, delivery to the designated inland destinations, and the return of empty containers to the carrier-specified locations.

⁴ See March 26, 2025 Order (“March 26 Order”) and May 15, 2025 Order (“May 15 Order” and collectively with the March 26 Order, the “Orders”) further described below.

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illustrate these deficiencies, which have impacted all aspects of discovery in this case.⁵ The only logical conclusion is that Flexport has made a strategic decision to prevent Peloton from learning critical underlying facts because it cannot justify its decisions to issue the D&D charges at issue. Peloton provides this status report to bring these issues to the attention of the Presiding Officer and intends to pursue appropriate remedies and merits findings.

1. Flexport's Failure to Produce Its Internal Communications or Communications with Third Parties Involved in Peloton Shipments.

The Presiding Officer has clearly ordered Flexport *three times* to produce its communications, both internal and with third parties, related to Peloton's shipments (collectively, the "Shipment Communications"). The March 26 Order specifically stated:

Respondent [Flexport] is **ORDERED** to provide the communications between it and contractors such as motor carriers and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021.

Id. at 1.

In the April 22, 2025 Order denying Peloton's motion to extend the schedule, the Presiding Officer again directed:

If it has not yet done so, Flexport is **ORDERED** by April 25, 2025, to produce the communications between it and various entities regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021. . . . Any items specified in the Order and not produced by April 25, 2025, could result in discovery sanctions including adverse inferences, decision on default, or dismissal of the complaint.

Id. at 2 (citations omitted).

⁵ There are many aspects of Flexport's productions and discovery conduct that are objectionable and materially prejudicial, including conduct by its counsel that significantly delayed discovery and increased costs, as well as witness intimidation by Flexport executives. Peloton addresses a few specific examples of violations of the Orders in this Status Report, but reserves all rights to later fully brief additional issues and seek appropriate remedies.

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This was reinforced a third time in the Presiding Officer's May 15 Order, which summarized her prior ruling and again ordered production of the Shipment Communications:

On March 25, 2025, a video status conference was held to discuss several pending motions, including motions to compel filed by both parties. On March 26, 2025, a memorandum order issued, memorializing the decisions made by the undersigned at the conference Based on the arguments of the parties presented at the status conference and in their respective motions and responses, Flexport was ordered to provide the communications between it and contractors such as motor carriers and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021.

To the extent that it was not clear, the records, including bills of lading, invoices, and the communications between Flexport and the contractors, marine terminals, and ocean carriers, as well as the internal communications regarding Peloton's containers or shipments, are relevant to Peloton's claims and are compelled. To the extent that they have not been provided, Flexport is **ORDERED** to produce any remaining records by May 20, 2025, and to then state in writing that there are no further records responsive to the request.

Id. at 3.

Despite these Orders, Flexport has only produced a limited number of Shipment Communications. Between the March 26 Order and the close of discovery, Flexport produced *de minimis* documents, including a total of seven (7) emails.⁶ Flexport's entire production since March 26, 2025 is summarized below:

Production Date	Document Type/Quantity	Document Summary
April 6, 2025	Excel Spreadsheet (1)	One download from the Flexport portal ⁷ for the time period April 2021 – October 2021.

⁶ Because Flexport did not produce the third-party Shipment Communications, Peloton was forced to issue subpoenas to secure these materials. Peloton subpoenaed the ocean carrier that moved the most Peloton containers with Flexport, ZIM Integrated Shipping Services Ltd. "ZIM" and the trucking company that moved the most containers, Junction Collaborative Transport ("JC Transport"). As discussed below, neither ZIM nor JC Transport produced any documents.

⁷ The Flexport portal, produced as the "Peloton Event Download," is incomplete. According to Flexport, the portal tracks the lifecycle of shipments from origin to delivery and equipment return,

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	PDF Invoices (3,306)	Reproduction of invoices between Peloton and Flexport.
April 25, 2025	Excel Spreadsheet (1)	One download from the Flexport portal for the time period August 2020 – April 2021.
	PDFs (3)	Flexport tariff rules from September 2020 – October 2020.
	Excel Spreadsheet (1)	Post-OSRA spreadsheet related to Flexport’s June 2022 invoices to Peloton.
	Emails (7)	Emails forwarded from Ryan Tanner to himself dated April 24, 2025 (the day before they were produced).
May 20, 2025	Videos (4)	Four videos, ranging from 47 seconds to 1 minute and 48 seconds, with no metadata or date context.

A review of Flexport’s production establishes that Flexport’s assurances on April 4, 2025 that it “has, or by next week shall, have complied with its discovery obligations”⁸ cannot be accurate. Approximately 7,000 containers were moved through Flexport’s third party subcontractors and Flexport has not indicated that the underlying shipment documentation was not preserved. Therefore, there is no reason why Peloton did not receive these documents before discovery closed. The following representative examples illustrate the deficiencies:

Lack of Communications with Ocean Carriers. Flexport’s production of communications with ocean carriers is nearly non-existent in relation to the 7,000-shipment volume and value of the transactions at issue. For example, from 2020 to 2022, Flexport billed Peloton over \$11 million in D&D charges for containers transported by ZIM. Yet, Flexport has produced ***only seventeen email communications between Flexport and ZIM, and only six of these were sent by ZIM.*** The

including delays caused by weather, port congestion, trucker availability, and chassis shortages, but not all of this information was produced and the information that was produced is incomplete.
⁸ Dkt. No. 50 at pg. 9; Flexport also reiterated, “[t]his shall confirm that there are no additional responsive documents to the discovery requests” in an email to Peloton’s counsel on May 20, 2025.

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Presiding Officer reinforced that the ZIM communications are relevant, required by the Orders, and should be produced by Flexport in granting ZIM's motion to quash Peloton's subpoena:

The parties to the underlying litigation have motions to compel pending before the undersigned, and those motions include the documents and communications Peloton seeks through the subpoena issued to Zim. Moreover, a Memorandum Order issued specified a relevant period for which Flexport must provide documents and communications. Accordingly, while the subpoenaed documents and communications at issue are sufficiently described and are relevant, the time frame requested is overbroad and the subpoenaed items are available through Flexport without burdening a nonparty.

May 9, 2025 Order at 4-5. After four orders directing production of Flexport's communications with ZIM, there is no justification or excuse for failing to produce them.

Examples of the produced communications with other Ocean Carriers that moved Peloton containers is similarly unexplainable:

Flexport's Ocean Carrier	D&D Charges Assessed by Flexport to Peloton	Number of Ocean Carrier Emails Produced
YangMing Marine Transport Co.	\$1.2M	6 emails (only two sent by YangMing)
COSCO Shipping Lines Co., Ltd.	\$2M	51 emails (only four sent by COSCO)
Evergreen Shipping Agency (America) Corp.	\$3.5M	22 emails (only five sent by Evergreen)

Lack of Trucker Communications. Although there are 7,000 Peloton shipments at issue, and each would necessarily involve at least one communication between Flexport and its trucker (and likely many more to schedule and organize the movement), Flexport produced minimal communications with the thirty-six truckers who moved Peloton shipments, contrary to deposition testimony confirming such communication should exist.⁹ The below chart summarizes the produced emails for three of those truckers:

⁹ Deposition of Flexport's Nick Peckham ("Peckham Tr.") 103:18-23:

Q: Throughout your time at Flexport, did you work with any preferred truckers?

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Flexport's Trucker	Number of Peloton Shipments Handled By Trucker	Number of Trucker Emails Produced
All Season Transport	107	0 emails
Uncommon Carrier	1,202	114 emails
Junction Collaborative Transport ("JC Transport")	4,205	1,333 emails** ¹⁰

Moreover, Peloton learned just last week from JC Transport, *not Flexport*, that Flexport used a Flexport-designed platform called "Transmission" for at least some of these communications—yet it appears that Flexport has produced no documents or communications from this platform. *See* Attachment 1, JC Transport Email dated May 27, 2025, "JC Email."¹¹ It appears that Transmission facilitates logistics functions, including communications with trucking companies, delivery coordination, proofs of delivery, work orders, and terminal appointments. There is no valid explanation for the absence of production from the Transmission platform (or Flexport's failure to disclose its existence during discovery). While Flexport has asserted that communications with

A: Did I work with them? Did I interact with them? Yes.

Q: How did you interact with them?

A: I might ask them, "When is this going to be delivered? When are you picking this up? Do you have a delivery appointment?"

Q: How would those communications be held?

A: Two ways: On the Flexport platform you can tag truckers and have a conversation there, or email.

¹⁰ The 1,333 emails are mostly related to scheduling and provide little to no information on the basis for the D&D charges.

¹¹ Peloton served JC Transport with a subpoena on March 5, 2025, which JC Transport did not move to quash. In March, Peloton's counsel communicated with JC Transport regarding the subpoena, but JC Transport did not mention Transmission. It was only last week (nearly 3 months after the subpoena was served) that JC Transport sent Peloton an email disclosing Transmission for the first time and claiming it "no longer has access to most of the information" regarding the relevant invoices. Curiously, nearly three months after serving the subpoena, and just a few hours before JC Transport disclosed Transmission for the first time, Flexport's outside counsel in this proceeding demanded Peloton withdraw the subpoena. Ultimately, JC Transport has produced no documents.

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truckers were produced through the Peloton Events Download from its portal; a review of the entries reveals it appears more akin to a log than substantive communications, as many are generic event labels, with no additional context. For example, many entries state “Trucking Delay: Other” without any explanation or detail regarding the cause of the delay. An excerpt of the Peloton Events Download produced by Flexport is provided below:

33395	Updated Estimated Time of Arrival (ETA)	1151058	2021-08-17 15:02:03	Nick Peckham
	Stop Off Fee reported.			
33416	Container BEAU4814580: 1 container.	1151058	2021-08-17 15:38:52	Ian Weiland
33434	Cargo delivered to SFO - Perris, CA	1151058	2021-08-17 16:08:12	Lenilyn Plata
33545	Container WHSU5180827 is confirmed empty and ready for pickup. (Location notes: Peloton Perris)	1151058	2021-08-17 17:40:40	samalaulu peni
33671	Trucking Delay: Other	1151058	2021-08-17 19:21:26	Lenilyn Plata
33672	Updated Estimated Time of Arrival (ETA)	1151058	2021-08-17 19:21:28	Lenilyn Plata
33673	Updated Estimated Time of Departure (ETD)	1151058	2021-08-17 19:21:30	Lenilyn Plata
33674	Trucker Confirmed Scheduled Date	1151058	2021-08-17 19:21:30	Lenilyn Plata
33675	_This message was deleted._	1151058	2021-08-17 19:21:46	Lenilyn Plata
33681	Trucking Delay: Other	1151058	2021-08-17 19:26:27	Lenilyn Plata
33682	Trucker Confirmed Scheduled Date	1151058	2021-08-17 19:26:30	Lenilyn Plata
33683	Updated Estimated Time of Arrival (ETA)	1151058	2021-08-17 19:26:32	Lenilyn Plata
33684	Updated Estimated Time of Departure (ETD)	1151058	2021-08-17 19:26:33	Lenilyn Plata
33685	_This message was deleted._	1151058	2021-08-17 19:26:44	Lenilyn Plata

Lack of Internal Communications. Flexport’s internal communications are likewise notably limited relative to the number of charges at issue. Flexport produced only a few thousand internal emails, which do not contain discernible evaluation or substantive analysis of the D&D charges on the 7,000+ shipments at issue or their reasonableness.

Flexport also did not produce notes and communications from its internal use of platforms. The Flexport platforms served as a summary of the lifecycle of each Peloton Shipment and deposition testimony confirmed that the platforms, one of which is called “CORE,” contained internal notes and communications between Flexport employees discussing Peloton Shipments. These notes were relied upon by Flexport employees when preparing Peloton invoices, including those for D&D charges.¹² Yet, none of these internal communications have been produced despite being required by the Orders.

¹² Peckham Tr. 138:10-21:

2. Flexport’s Failure to Produce or Identify Data Relied on By Its Expert.

As discussed above, the Flexport platform “CORE” housed critical communications and information regarding Peloton Shipments. Flexport’s only expert witness in this matter, Gary Kardian, purportedly relied on a document from the CORE system, but Flexport has refused to identify that document or whether it has been produced.

Initially, Kardian’s expert report (“Kardian Report”) did not disclose any of the documents he reviewed to support his findings. After Peloton raised this issue, Flexport served a supplement to the report on April 28, 2025 (“Kardian Supplement”), which included vague references to broad categories of materials allegedly relied on—such as “multiple correspondence between Flexport and Peloton”—without specific Bates numbers. *See* Attachment 2. This obscured what documents Kardian actually reviewed and relied on in drafting his report. During his deposition on May 22, 2025, Mr. Kardian disclosed for the first time that he relied on a “CORE document” to prepare his report and to access Peloton shipment data—information not previously disclosed in either the Kardian Report or the Kardian Supplement.¹³ When asked how he accessed the CORE document,

Q. Earlier you had discussed this split that happened between the operations team and the client solutions team in relation to shipments. How did that process work when the operations team was handling the actual shipment but the client solutions team was handling the invoicing?

A. Just like constant communication. Talked to them a lot, leaving internal notes within Core, emails. I mean, there was close communication. It is not like we were hands off.

¹³ Deposition of Flexport Expert Witness Gary Kardian (“Kardian Tr.”) 173:10-174:11:

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Mr. Kardian testified that it was available to him via a Dropbox folder.¹⁴ When asked to identify where the CORE document was listed in the Kardian Supplement, Mr. Kardian was unable to do so. He further confirmed that the document was not part of the Peloton Events Download¹⁵ or the Peloton Aggregate Shipment Details spreadsheet¹⁶ referenced in the Kardian Supplement. To date, despite multiple requests from Peloton's counsel, Flexport has neither identified where the CORE document can be found in Flexport's production or, in the alternative, produced or re-produced the CORE document. *See* Attachment 3 (emails with Flexport counsel).

The violations of the Orders referenced above are only examples of the materials and information that have not been produced by Flexport. In addition to these clear deficiencies, which have placed Flexport in square violation of this Court's discovery orders, Peloton has serious concerns about Flexport's overall discovery efforts and conduct, including at depositions. With

¹⁴ Kardian Tr. 150:22-151:18:

[REDACTED]

¹⁵ Kardian Tr. 174:25-175:7:

[REDACTED]

¹⁶ Kardian Tr. 191:2-4:

[REDACTED]

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discovery closed and the matter proceeding to briefing, Peloton respectfully submits this Status Report to apprise the Presiding Officer of these deficiencies, which Peloton intends to address in due course. Peloton accordingly reserves rights to seek any and all available sanctions and remedies under the FMC and Federal Rules.

Dated: June 6, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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